

Optimal Execution

BayQuant

The Trading Dilemma

Liquidating a large position is no free lunch: execution moves prices against the order. Sell it all at once and **market impact** is concentrated into a short, severe shock. Spread it out and impact cost falls, but the remaining shares sit exposed to the market's random swings for longer: **timing risk**. This report replicates Almgren and Chriss [1], who cast optimal liquidation as minimizing expected cost plus a constant times its variance.

Price Dynamics and Impact

The price follows Arithmetic Brownian Motion, disturbed by volatility, drift, and the trader's own activity. Discretizing the horizon into N steps of length $\tau = T/N$, with x_k shares held after step k ($x_0 = X$, $x_N = 0$) and $n_k = x_{k-1} - x_k$ shares traded in step k , the price process is

$$S_k = S_{k-1} + \alpha\tau + \sigma\sqrt{\tau}\xi_k - \tau g\left(\frac{n_k}{\tau}\right), \quad (1)$$

where ξ_k are i.i.d. shocks with zero mean and unit variance, $g(v)$ is the **permanent impact** (persists in the price process), and the drift α is taken as **zero** throughout since no directional information is assumed. Trading also incurs a **temporary impact** $h(v)$: a transient concession on the execution price of a single step, so the price actually received on sale k is

$$\tilde{S}_k = S_{k-1} - h\left(\frac{n_k}{\tau}\right).$$

In both g and h , the argument $v = n_k/\tau$ is the average rate of trading during the interval t_{k-1} to t_k .

Cost of Trading

Following Perold (1988), the **implementation shortfall** $XS_0 - \sum_k n_k \tilde{S}_k$ (2) is the cost of trading relative to the initial book value. Expanding the capture term $\sum_k n_k \tilde{S}_k$ (total trading revenue) gives the shortfall's expectation and variance

$$E(x) = \sum_k \tau x_k g\left(\frac{n_k}{\tau}\right) + \sum_k n_k h\left(\frac{n_k}{\tau}\right),$$

$$V(x) = \sigma^2 \sum_k \tau x_k^2.$$

Specializing to linear impact, $g(v) = \gamma v$ and $h(v) = \varepsilon \operatorname{sgn}(v) + \eta v$ (with ε a fixed cost per trade, e.g. half the bid-ask spread), summation by parts gives the permanent-impact term

$$\sum_k \tau x_k g\left(\frac{n_k}{\tau}\right) = \gamma \sum_k x_k n_k = \frac{1}{2} \gamma X^2 - \frac{1}{2} \gamma \sum_k n_k^2,$$

so its contribution to $E(x)$ is **not** schedule-independent at finite τ : the correction is $O(\tau)$ and only vanishes in the continuous-time limit. Temporary impact contributes $\varepsilon \sum_k |n_k| + (\eta/\tau) \sum_k n_k^2$. Combining, and writing $\bar{\eta} = \eta - \frac{1}{2}\gamma\tau$ to absorb the correction,

$$E(x) = \frac{1}{2} \gamma X^2 + \varepsilon \sum_k |n_k| + \frac{\bar{\eta}}{\tau} \sum_k n_k^2.$$

For a monotone schedule (n_k all one sign), $\sum_k |n_k| = X$, so only the last term shapes the schedule. Almgren and Chriss minimize

$$E(x) + \lambda V(x)$$

over $x_1, \dots, x_{N-1}$, where $\lambda \geq 0$ is risk aversion.

The Optimal Schedule

Dropping the schedule-independent terms $\frac{1}{2}\gamma X^2 + \varepsilon X$ and writing $a = \bar{\eta}/\tau$, $b = \lambda\sigma^2\tau$ turns the objective into the quadratic form

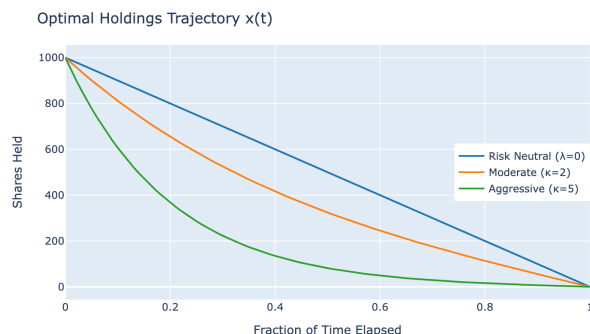
$$F = a \sum_k (x_{k-1} - x_k)^2 + b \sum_k x_k^2.$$

Setting $\partial_x F = 0$ for each interior x_j gives the recurrence $x_{j+1} - 2x_j + x_{j-1} = (\frac{b}{a})x_j$, whose left side is a centered second-difference stencil. Taking $N \rightarrow \infty$, the $O(\tau)$ correction $\bar{\eta} \rightarrow \eta$ vanishes, turning this into the continuous-time condition $\ddot{x}(t) = \kappa^2 x(t)$ with $\kappa^2 = \lambda\sigma^2/\eta$, solved subject to $x(0) = X$, $x(T) = 0$ by

$$x(t) = X \frac{\sinh(\kappa(T-t))}{\sinh(\kappa T)}.$$

The Shape of the Schedule

κ alone governs the curve's shape. As $\lambda \rightarrow 0$, $\kappa \rightarrow 0$ and $\sinh(z) \approx z$ makes the schedule linear: constant-rate, TWAP-like execution. As λ grows, κ grows and the curve front-loads, trading more impact cost for less timing risk. $\frac{1}{\kappa}$ is the characteristic unwind timescale.



Buying as the Mirror Image

Since cost enters only through n_κ^2 , the objective is direction-blind: accumulating a position just flips the boundary conditions to $x_0 = 0$, $x_N = X$, giving the time-reversal of the sell schedule,

$$x(t) = X \frac{\sinh(\kappa t)}{\sinh(\kappa T)}.$$

References

- [1] R. Almgren and N. Chriss, "Optimal execution of portfolio transactions," *Journal of Risk*, vol. 3, no. 2, pp. 5–39, 2000.
- [2] A. F. Perold, "The implementation shortfall: Paper versus reality," *Journal of Portfolio Management*, vol. 14, no. 3, pp. 4–9, 1988.

Appendix

Notation

symbol	meaning	units
X	total shares to be liquidated (or accumulated)	shares
T	trading horizon	day
$\tau = T/N$	length of one discretization step, with N the number of steps	day
$x_k, x(t)$	shares still held after step k , or at time t	shares
$S_k, S(t)$	security price after step k , or at time t , with S_0 the initial price	\$/share
α	drift rate of the price process; assumed zero throughout	\$/share/day
ξ_k	i.i.d. shock in step k , zero mean and unit variance	—
$n_k = x_{k-1} - x_k$	shares traded in step k	shares
n_k/τ	trading rate during step k : shares traded per unit time, not to be confused with n_k itself	shares/day
$g(v)$	function of trading rate v entering the price process; its effect carries forward into S_k	\$/share
$\tilde{S}_k$	actual price per share received on sale k	\$/share
$h(v)$	temporary-impact function: the drop in average price per share from trading at rate v during one interval; does not carry forward into S_k	\$/share
$E(x)$	expected cost of trading schedule x	\$
$V(x)$	variance of the cost of trading schedule x	$\2
γ	permanent-impact coefficient: the persistent price shift per share traded	\$/share ²
η	temporary-impact coefficient: the price concession per unit trading rate	\$/share ²
ε	fixed cost per trade in $h(v)$, e.g. half the bid-ask spread plus fees	\$/share
$\bar{\eta} = \eta - \frac{1}{2}\gamma\tau$	temporary-impact coefficient net of the permanent-impact schedule-dependent correction; $\bar{\eta} \rightarrow \eta$ as $\tau \rightarrow 0$	\$/share ²
σ	volatility of the traded asset	\$/share/ $\sqrt{\text{day}}$
λ	risk aversion: the trader's chosen weight on cost variance	1/\$
$\kappa = \sqrt{\lambda\sigma^2/\eta}$	decay parameter setting the schedule's unwind timescale	1/day

γ and η each carry an extra factor of 1/ share beyond what “a price shift per share traded” suggests, because **price** is itself quoted in \$/share: a shift in that per-share price, per share traded, is (\$/share)/share = \$/share².

Price Process from Continuous Time

The security's price evolves according to Arithmetic Brownian Motion, driven by two exogenous factors, volatility and drift, and one endogenous factor, market impact: the price movement caused by the trader's own activity. Letting v_t denote the trader's continuous trading rate, market impact enters as a further endogenous drift term $-g(v_t)$ alongside the exogenous drift α set by the market:

$$dS_t = \alpha dt + \sigma dW_t - g(v_t) dt.$$

Discretizing the horizon into N steps of length $\tau = T/N$ and applying Euler-Maruyama, with n_k/τ standing in for v_t and $W_{t_k} - W_{t_{k-1}} \approx \sqrt{\tau}\xi_k$ standing in for the Brownian increment over step k , gives equation (1):

$$S_k = S_{k-1} + \alpha\tau + \sigma\sqrt{\tau}\xi_k - \tau g\left(\frac{n_k}{\tau}\right), \quad k = 1, \dots, N.$$

Capture Identity

Substituting the price dynamics and temporary-impact price into the definition of capture (total trading revenue), $\sum_k n_k \tilde{S}_k$, and expanding gives equation (2) ([1]'s equation (3)):

$$\sum_{k=0}^N n_k \tilde{S}_k = X S_0 + \sum_{k=1}^N \left(\sigma\sqrt{\tau}\xi_k - \tau g\left(\frac{n_k}{\tau}\right) \right) x_k - \sum_{k=1}^N n_k h\left(\frac{n_k}{\tau}\right).$$

The first term is the initial market value of the position. The volatility term $\sum \sigma\sqrt{\tau}\xi_k x_k$ nets to zero in expectation; the permanent-impact term $-\sum \tau x_k g\left(\frac{n_k}{\tau}\right)$ is the loss from the price drop that persists after each sale; the temporary- impact term $-\sum n_k h\left(\frac{n_k}{\tau}\right)$ is the loss confined to the units traded in each step.